

## China Restaurants: Luckin/Chagee initiation feedback; addressing key investor questions

Following our initiations on the two freshly made drink players Luckin and Chagee on Jun 22, we held numerous marketing meetings with investors. Investors generally agreed on the growth opportunity in China's freshly made drink sector where penetration remains low, and the DD% CAGR makes it an outperforming sector in the consumer space. For our Buy-rated name Luckin, investors also view the margin turnaround story as an attractive catalyst for 2H26; we also saw investor interest on Chagee if the SSSG improvement continues. The key investor push-back centers on the weak overall consumption, near-term SSSG pressure from last year's high base, competition and pricing risks, especially in the freshly made coffee category. Meanwhile, raw material cost and by-tier-of-city opportunity were also among the frequently asked questions. In this report, we provide analysis on these investor questions.

While we acknowledge freshly made drink companies face tough SSSG bases in 2Q-3Q, multiple brands have managed to deliver relatively resilient SSSG performance into high bases (e.g. ChaPanda Jun SSSG improved to slight LSD% decline, Guming SSSG in Jun was also resilient at slightly LSD% decline), vs. market expectation already lowered. 3Q remained a high base quarter so investors may still stay at sidelines in the near-term to see the sustainability of the resilient performance from 2Q and competition landscape. For Luckin, we expect SSSG of -5% in 2Q26 (vs. market expectation skewed towards HSD% decline); pricing competition remains rational and 2H margin set-up is favorable (delivery mix decline from 35%-45% last 2H, more favorable coffee bean price impact kicking in), supporting the company to deliver earnings growth outperformance in 2H. More details within.

**Xinyu Ruan**  
+852-2978-7347 | xinyu.ruan@gs.com  
Goldman Sachs (Asia) L.L.C.

**Michelle Cheng**  
+852-2978-6631 | michelle.cheng@gs.com  
Goldman Sachs (Asia) L.L.C.

**Molly Dai**  
+852-3966-4000 | molly.dai@gs.com  
Goldman Sachs (Asia) L.L.C.

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## Q1: Competition and price dynamics

### Competition in coffee market

With multiple leading freshly made tea players entering the fast-growing freshly made coffee market, we are seeing investor concerns on stepped-up competition. However, we note that: 1) the expansion and pricing remains largely rational, and coffee is a supplement to the stores instead of the major contributor. For Guming, which stands out in coffee roll out, the company targets for 20%/25% coffee contribution in 2026-27E; the coffee coupons offered by the brand are also disciplined, i.e. one Rmb9.9 coupon per week, compared to Cotti's aggressive full menu Rmb8.8-9.9 campaign in 2023-early 2026; 2) coffee scale of freshly made tea players remains relatively small, compared to when Cotti entered the market (aggressive store expansion, and Luckin's scale is smaller compared to today). Based on our estimation, if we assume 20% coffee mix (for stores introducing coffee machines) for Guming in 2026E, it translates to Rmb8bn coffee GMV, or low teens of Luckin's scale (vs. Cotti's GMV reached 17% of Luckin's as of 2023 per CIC). The progress of coffee roll out for other freshly made tea brands remains meaningfully behind that of Guming. 3) Store location wise, the competition between Luckin and freshly made tea brands is not head-to-head, given Luckin's stores are high tier city skewed (16%/44% stores located in tier 1/tier 1+new tier 1 cities, compared to Guming at 3%/16%).

Meanwhile, we note Cotti, which had fierce competition in store expansion and pricing with Luckin in 2023-24, has seen pressure YTD. On store expansion, Cotti has turned to net closures in some recent months, and gross openings were also meaningfully slower compared to last year when delivery subsidy boosted sales, according to Hongcan ([Exhibit 2](#)). News reported that Cotti removed some of the franchisee supporting policies YTD. Given the weaker store UE (according to [channel checks](#), around half of Cotti's stores didn't generate profit in 2024 before the delivery subsidy), if Cotti turns to continuous store net closures, this would create more opportunities for other players such as Luckin and Guming.

### Exhibit 1: Freshly made tea players have been expanding into coffee category, but current scale is relatively small except Guming

|                       | Stores covered (year end) |        |             | Coffee cup mix |       | Coffee GMV (bn) |       |
|-----------------------|---------------------------|--------|-------------|----------------|-------|-----------------|-------|
|                       | 2024                      | 2025   | 2026E       | 2025           | 2026E | 2025            | 2026E |
| Guming                | 4,000                     | 12,000 | 15,600      | 14%            | 20%   | 3.2             | 7.9   |
| Auntea Jenny          |                           | 5,000  | 8000+ (YTD) | 10%            | 15%   | 0.8             | ~1.3  |
| ChaPanda              |                           | 200    | ~3000 (YTD) |                | 15%   |                 | ~0.4  |
| Luckin                |                           |        |             |                |       | 52.2            | 64.5  |
| FM coffee market size |                           |        |             |                |       | 259.1           | 310.9 |

Coffee GMV based on GSe. For Guming, we assume the new coffee machine installation equal to net new stores

Source: Company data, Goldman Sachs Global Investment Research



**Exhibit 2: Luckin continues to open stores at a decent pace, while Cotti saw net store closures in some recent months and gross openings also turned slower**

|              |     | Store gross openings |        |        |        |        |        |        |        |        |        |        |        |        |        | Store count        |
|--------------|-----|----------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------------------|
| Brands       | ASP | Apr-25               | May-25 | Jun-25 | Jul-25 | Aug-25 | Sep-25 | Oct-25 | Nov-25 | Dec-25 | Jan-26 | Feb-26 | Mar-26 | Apr-26 | May-26 | As of May-26       |
| Mixue China  | 7   | 3431                 | 1672   | 1121   | 1430   | 382    | 330    | 234    | 213    | 262    | 696    | 618    | 1995   | 776    | 419    | 46,507             |
| Guming       | 14  | 226                  | 457    | 561    | 535    | 519    | 607    | 487    | 280    | 305    | 225    | 195    | 105    | 254    | 235    | 14,112             |
| Auntea Jenny | 13  | 182                  | 176    | 165    | 293    | 362    | 552    | 460    | 404    | 363    | 308    | 182    | 266    | NA     | 612    | 11,008             |
| ChaPanda     | 14  | 136                  | 147    | 129    | 140    | 147    | 209    | 173    | 172    | 138    | 128    | 78     | 92     | 145    | 214    | 8,309              |
| Shuyi        | 12  |                      |        | 71     | 93     | 84     | 104    | 83     | 64     | 76     | 69     | 32     | 44     | 65     | 96     | 4,936              |
| Yidiandian   | 15  | 78                   | 46     | 101    | 122    | 122    | 211    | 149    | 146    | 162    | 96     | 336    | 107    | 305    | 285    | 5,174              |
| Luckin       | 14  | 662                  | 742    | 1,049  | 833    | 999    | 1,154  | 880    | 742    | 768    | 1078   | 552    | 730    | 1834   | 963    | 34,879             |
| Cotti        | 10  | 374                  | 1,080  | 1,155  | 1,363  | 1,044  | 864    | 970    | 567    | 473    | 405    | 221    | 301    | 267    | 194    | 16,201             |
| Nowwa        | 17  | 174                  | 171    | 857    | 1,376  | 1,184  | 940    | 630    | 1,690  | 611    | 542    | 265    | 992    | 264    | 286    | 8,034              |
| Starbucks    | 36  | 32                   | 32     | 44     | 28     | 51     | 160    | 15     | 18     | 52     | 30     | 18     | 11     | 48     | 46     | 8,236              |
| Lucky Cup    | 8   | 239                  | 369    | 333    | 355    | 522    | 850    | 934    | 1,094  | 486    | 164    | 85     | 86     | 81     | 22     | 8,348              |
| Manner       | 21  | 68                   | 47     | 48     | 63     | 58     | 88     | 70     | 62     | 63     | 51     | 47     | 19     | 58     | 44     | 2,539              |
| Kcoffee      | 15  | 179                  | 127    | 130    | 187    | 96     | 185    | 134    | 214    | 193    | 269    | 113    |        |        |        | 2,134              |
| Tims         | 25  | 20                   | 24     | 18     | 17     | 13     | 20     | 15     | 10     | 15     | 23     | 12     | 10     | 5      | 7      | 957                |
|              |     | Store net openings   |        |        |        |        |        |        |        |        |        |        |        |        |        |                    |
| Brands       | ASP | Apr-25               | May-25 | Jun-25 | Jul-25 | Aug-25 | Sep-25 | Oct-25 | Nov-25 | Dec-25 | Jan-26 | Feb-26 | Mar-26 | Apr-26 | May-26 |                    |
| Mixue China  | 7   | 3,248                | 1,491  | 900    | 1,129  | -94    | -249   | 42     | 75     | 117    | 525    | 503    | 1,856  | 642    | -199   |                    |
| Guming       | 14  | 158                  | 418    | 508    | 468    | 447    | 534    | 382    | 177    | 232    | 164    | 139    | -28    | 140    | 154    |                    |
| Auntea Jenny | 13  | 50                   | 59     | -4     | 143    | 204    | 415    | 321    | 289    | 226    | 145    | 72     | 50     | NA     | 382    |                    |
| ChaPanda     | 14  | -208                 | -232   | -191   | -133   | -19    | 51     | 52     | 70     | 45     | 56     | 54     | 3      | 35     | 137    |                    |
| Shuyi        | 12  |                      |        | 1      | 31     | 19     | 16     | -6     | -2     | 7      | -8     | 1      | -54    | -38    | 43     |                    |
| Yidiandian   | 15  | 67                   | 29     | 88     | 106    | 108    | 201    | 142    | 137    | 146    | 87     | 326    | 96     | 293    | 271    |                    |
| Luckin       | 14  | 619                  | 671    | 735    | 663    | 876    | 1,041  | 773    | 622    | 594    | 930    | 481    | 315    | 1,715  | 830    |                    |
| Cotti        | 10  | 279                  | 975    | 1,081  | 1,239  | 911    | 711    | 523    | 20     | -97    | 320    | -104   | 214    | 140    | -633   |                    |
| Nowwa        | 17  | 133                  | 133    | 820    | 1,313  | 888    | 891    | 561    | 1,624  | 376    | 286    | 170    | 463    | -143   | 137    |                    |
| Starbucks    | 36  | 17                   | 21     | 27     | 7      | 29     | 130    | -7     | -12    | 9      | -6     | 3      | -30    | -23    | 36     |                    |
| Lucky Cup    | 8   | 190                  | 349    | 288    | 311    | 473    | 806    | 895    | 1,017  | 428    | 104    | 49     | -97    | -67    | -44    |                    |
| Manner       | 21  | 66                   | 43     | 43     | 60     | 54     | 83     | 64     | 55     | 55     | 38     | 46     | 5      | 45     | 36     |                    |
| Kcoffee      | 15  | 164                  | 121    | 109    | 163    | 88     | 174    | 129    | 204    | 180    | 238    | 109    |        |        |        |                    |
| Tims         | 25  | 7                    | 11     | 6      | -5     | -6     | 12     | 6      | -2     | 9      | 2      | 6      | -28    | -14    |        |                    |
|              |     | Store closures       |        |        |        |        |        |        |        |        |        |        |        |        |        | Store closure rate |
| Brands       | ASP | Apr-25               | May-25 | Jun-25 | Jul-25 | Aug-25 | Sep-25 | Oct-25 | Nov-25 | Dec-25 | Jan-26 | Feb-26 | Mar-26 | Apr-26 | May-26 | (past 12M)         |
| Mixue China  | 7   | -183                 | -181   | -221   | -301   | -476   | -579   | -192   | -138   | -145   | -171   | -115   | -139   | -134   | -618   | 7%                 |
| Guming       | 14  | -68                  | -39    | -53    | -67    | -72    | -73    | -105   | -103   | -73    | -61    | -56    | -133   | -114   | -81    | 8%                 |
| Auntea Jenny | 13  | -132                 | -117   | -169   | -150   | -158   | -137   | -139   | -115   | -137   | -163   | -110   | -216   | -15    | -230   | 18%                |
| ChaPanda     | 14  | -344                 | -379   | -320   | -273   | -166   | -158   | -121   | -102   | -93    | -72    | -24    | -89    | -110   | -77    | 20%                |
| Shuyi        | 12  |                      |        | -70    | -62    | -65    | -88    | -89    | -66    | -69    | -77    | -31    | -98    | -103   | -53    | 18%                |
| Yidiandian   | 15  | -11                  | -17    | -13    | -16    | -14    | -10    | -7     | -9     | -16    | -9     | -10    | -11    | -12    | -14    | 3%                 |
| Luckin       | 14  | -43                  | -71    | -314   | -170   | -123   | -113   | -107   | -120   | -174   | -148   | -71    | -415   | -119   | -133   | 7%                 |
| Cotti        | 10  | -95                  | -105   | -74    | -124   | -133   | -153   | -447   | -547   | -570   | -85    | -325   | -87    | -127   | -827   | 25%                |
| Nowwa        | 17  | -41                  | -38    | -37    | -63    | -296   | -49    | -69    | -66    | -235   | -256   | -95    | -529   | -407   | -149   | 52%                |
| Starbucks    | 36  | -15                  | -11    | -17    | -21    | -22    | -30    | -22    | -30    | -43    | -36    | -15    | -30    | -27    | -10    | 4%                 |
| Lucky Cup    | 8   | -49                  | -20    | -45    | -44    | -49    | -44    | -39    | -77    | -58    | -60    | -36    | -97    | -148   | -66    | 12%                |
| Manner       | 21  | -2                   | -4     | -5     | -3     | -4     | -5     | -6     | -7     | -8     | -13    | -1     | -14    | -13    | -8     | 4%                 |
| Kcoffee      | 15  | -15                  | -6     | -21    | -24    | -8     | -11    | -5     | -10    | -13    | -31    | -4     |        |        |        | 9%                 |
| Tims         | 25  | -13                  | -13    | -12    | -22    | -19    | -8     | -9     | -12    | -6     | -21    | -6     | -28    | -16    | -20    | 19%                |

Note: ASP was sourced from Hongcan

ASP, store openings and closures were sourced from Hongcan; Store closure rate is calculated as the sum of past 12M store closures divided by average of current and trailing 12M store count.

Source: Hongcan, Goldman Sachs Global Investment Research

### Pricing trend

With the goal to educate customers, we note freshly made tea brands have been offering attractive prices for coffee products, and investors are concerned that there will be further price competition emerging in the sector. While we acknowledge that the favorable prices are likely to last to acquire customers, the magnitude of promotion remains disciplined — e.g. for Guming, Rmb9.9 coupon is offered on weekly basis; for Luckin, the two week Rmb9.9 campaign covers select SKUs. The overall ASP trend for most of the leading freshly made drink brands is also largely stable according to Zhaimen (Exhibit 4).

We view possibility for large scale price competition is relatively low, given: 1) The past experience suggests such competition is not sustainable and could pressure SSSG performance due to lower ASP (e.g. in 2024, Luckin's SSSG decline was mainly driven by ASP). 2) Product quality/differentiation matters more for freshly made drink players to gain share, instead of purely low price. In fact, ingredient/product upgrade is among the focus areas for leading players this year. 3) With primary market investment trending down (total amount of financing was at less than Rmb2bn/1bn in 2023/24, compared to Rmb8bn in 2021 per ITJuzi/Yilantop), the resources for new players to enter with

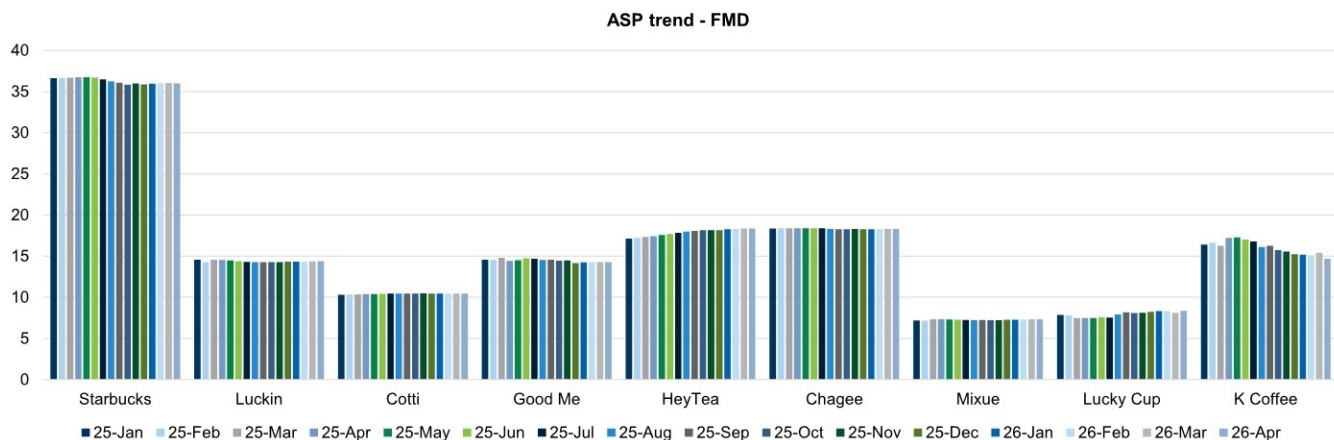
aggressive pricing is limited. That said, if irrational pricing competition emerges and players follow to defend market share, we see downside risk to our forecasts.

**Exhibit 3: We see some incremental pricing activities, including Guming's weekly Rmb9.9 coffee coupon and Luckin's Rmb9.9 campaign for 2 weeks, but remains rational**

|                                           | Coffee                                                                                                                                           |                                                                                                                                               |                                                                                                                                  |                                                                                       |                                                            | Tea                                                                                                               |                                                                                                                             |                      |
|-------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|----------------------|
|                                           | Luckin                                                                                                                                           | Cotti                                                                                                                                         | KCOFFEE                                                                                                                          | Mc Café                                                                               | Lucky Cup                                                  | Mixue                                                                                                             | Good me                                                                                                                     | Hey Tea              |
| <b>Major pricing activities</b>           | - Price hike from Jan 2025 in some cities                                                                                                        | - No longer offer Rmb9.9 for all products since Feb 2026                                                                                      | - Lowest price with membership card increased to Rmb6 from Rmb5; membership card monthly fee from Rmb8.8 to Rmb9.9 from Mar 2025 |                                                                                       | - Increased delivery channel price by Rmb3 on Feb 28, 2026 |                                                                                                                   |                                                                                                                             |                      |
| 6/1/2026                                  | -One 9.9 coffee coupon each week, 10 SKUs available including 2 milk tea and 3 fruit tea SKUs                                                    | -9.9 for selective SKUs<br>- Offer Rmb4.9 coupon for select SKUs in private domain<br>-Cotti Monday, offering Rmb5.9, free coffee coupon etc. | Coffee from Rmb9.9, with membership card from Rmb6.9                                                                             | No meaningful change (Rmb9.9 for selective Americano/Latte SKUs with membership card) | No meaningful change                                       | Buy one get one free offered for coffee in stores introduced coffee machine (10k daily, for morning session only) | One Rmb9.9 coffee each week, all coffee SKUs available                                                                      | No meaningful change |
| 6/8/2026                                  | -9.9 offered for ~10 SKUs during Jun 8-21 (1 cup limited for each SKU per day; can be used during 12pm-5pm)                                      | -9.9 for selective SKUs<br>- Offer Rmb4.9 coupon for select SKUs in private domain<br>-Cotti Monday, offering Rmb5.9, free coffee coupon etc. | Coffee from Rmb9.9, with membership card from Rmb6.9                                                                             | No meaningful change (Rmb9.9 for selective Americano/Latte SKUs with membership card) | No meaningful change                                       | Buy one get one free offered for coffee in stores introduced coffee machine (10k daily, for morning session only) | - One Rmb9.9 coffee each week, all coffee SKUs available<br>- Buy one get one free offered for select SKUs during Jun 13-14 | No meaningful change |
| 6/15/2026                                 | -9.9 offered for ~10 SKUs during Jun 8-21 (1 cup limited for each SKU per day; can be used during 12pm-5pm)                                      | -9.9 for selective SKUs<br>- Offer Rmb4.9 coupon for select SKUs in private domain<br>-Cotti Monday, offering Rmb5.9, free coffee coupon etc. | Coffee from Rmb9.9, with membership card from Rmb6.9                                                                             | No meaningful change (Rmb9.9 for selective Americano/Latte SKUs with membership card) | No meaningful change                                       | Rmb2 coffee coupon offered for coffee in stores introduced coffee machine (10k daily, for morning session only)   | One Rmb9.9 coffee each week, all coffee SKUs available                                                                      | No meaningful change |
| 6/22/2026                                 | -One 9.9 coffee coupon each week, 8 SKUs available including 1 milk tea and 3 fruit tea SKUs<br>- Daily Rmb9.9 coupon offered for fruit C series | -9.9 for selective SKUs<br>- Offer Rmb4.9 coupon for select SKUs in private domain<br>-Cotti Monday, offering Rmb7.9, free coffee coupon etc. | Coffee from Rmb9.9, with membership card from Rmb6.9                                                                             | No meaningful change (Rmb9.9 for selective Americano/Latte SKUs with membership card) | No meaningful change                                       | Buy one get one free offered for coffee in stores introduced coffee machine (1.5k daily)                          | One Rmb9.9 coffee each week, all coffee SKUs available                                                                      | No meaningful change |
| 6/29/2026                                 | -One 9.9 coffee coupon each week, 8 SKUs available including 1 milk tea and 3 fruit tea SKUs                                                     | -9.9 for selective SKUs<br>- Offer Rmb4.9 coupon for select SKUs in private domain<br>-Cotti Monday, offering Rmb7.9, free coffee coupon etc. | Coffee from Rmb9.9, with membership card from Rmb6.9                                                                             | No meaningful change (Rmb9.9 for selective Americano/Latte SKUs with membership card) | No meaningful change                                       | 1mn free coupon offered for World Cup during Jun 29-Jul 18                                                        | One Rmb9.9 coffee each week, all coffee SKUs available                                                                      | No meaningful change |
| <b>Sequential pricing trend (monthly)</b> | ↓                                                                                                                                                | ↑                                                                                                                                             | →                                                                                                                                | →                                                                                     | →                                                          | ↓                                                                                                                 | ↓                                                                                                                           | →                    |

Source: Company data

**Exhibit 4: Overall ASP has seen relatively stable trend for most freshly made drink leaders**



Source: Zhaimen



**Exhibit 5: Leading players have large cash balances to compete in price war if any; but such large scale price competition is not sustainable, in our view**

|                           | MIXUE     | Luckin                      | Guming               | Chagee                      |
|---------------------------|-----------|-----------------------------|----------------------|-----------------------------|
| Cash (2025 end, Rmb bn)   | 20.0      | 8.2                         | 6.1                  | 7.9                         |
| Cash as %of 2026 GMV      | 22%       | 9%                          | 14%                  | 25%                         |
| FCF (2026, Rmb bn)        | 6.0       | 4.1                         | 3.7                  | 1.8                         |
| FCF as %of GMV (2026)     | 7%        | 4%                          | 8%                   | 6%                          |
| NP (2026, Rmb bn)         | 6.4       | 5.4                         | 3.5                  | 1.9                         |
| Shareholder return policy | No policy | US\$300mn buyback announced | >50% dividend payout | US\$150mn buyback announced |

Source: Company data, Goldman Sachs Global Investment Research

## Q2: Near term SSSG amid tough base

The near term SSSG pressure and lower visibility from last year's high base is among the key pushbacks from investors to position in freshly made drink names. We acknowledge that the high base from late Apr brings SSSG yoy pressure in the near term, but investor expectations have also turned conservative (based on our marketing feedback, for Luckin, investors look at MSD-HSD% SSSG decline in 2Q vs. GSe of -5%, and HSD%-low teens% SSSG decline in 3Q vs. GSe of -8%). Despite the high base and weather headwind in Jun, multiple freshly made drink brands saw resilient performance — ChaPanda SSSG improved in Jun to LSD% yoy decline supported by better-than-expected roll out of coffee along with marketing campaigns; similarly, Guming also had resilient SSSG at LSD% yoy decline performance in Jun partially supported by promotion calendar shift. For Luckin, while channel checks suggest SSSG in Jun was lower than Apr-May which in our view was due to higher base and slightly lower ASP from the Rmb9.9 campaign, volume boost from the campaign and new products (e.g. new drinking method for butter latte) should provide some support. For Chagee, new products supported sequentially better performance in Jun, in terms of both GMV and SSSG; the company has low base in 2Q-3Q given it refrained from participating in delivery subsidy, and new product launch is muted last year vs. rich pipeline for this year's peak season.

Looking ahead, while Jul-Aug continues to see tough base for most FMD brands from last year's delivery subsidy, for players able to deliver resilient SSSG and earnings performance in 1H/2Q26, it would give better earnings visibility to 2H especially after Jul-Aug when base peaks out. We believe category expansion and successful new products would be drivers for SSSG resiliency amid high base. Meanwhile, into May-Jun, multiple brands noted sequential and yoy delivery subsidy mix decline. Lower delivery mix is a tailwind for store level profitability, and DTC-skewed player Luckin would see higher margin sensitivity to delivery mix change.

**Exhibit 6: Delivery subsidy peaked in May-Aug 2025, and has been normalizing YTD**

|        | Key delivery subsidy events                                                                                                                            |                                                                               |                                                                   | Platform UE (Rmb) |         |       |
|--------|--------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|-------------------------------------------------------------------|-------------------|---------|-------|
|        | Meituan                                                                                                                                                | Alibaba                                                                       | JD                                                                | Meituan           | Alibaba | JD    |
| Jan-25 |                                                                                                                                                        |                                                                               |                                                                   |                   |         |       |
| Feb-25 |                                                                                                                                                        |                                                                               |                                                                   | 1.5               | -0.1    | -10.0 |
| Mar-25 |                                                                                                                                                        |                                                                               |                                                                   |                   |         |       |
| Apr-25 |                                                                                                                                                        | Announced the launch of the "Subsidy over Rmb10bn" program on Apr 30          | Announced the "Rmb10bn food delivery subsidies" program on Apr 11 | -0.1              | -3.5    | -8.6  |
| May-25 | Intense food delivery subsidy offered in early May;<br>5 departments talked to JD, Meituan, Ele.me to define the "red lines" in competition in mid May |                                                                               |                                                                   |                   |         |       |
| Jun-25 | Launched Rmb0/1 offering in late Jun                                                                                                                   |                                                                               |                                                                   |                   |         |       |
| Jul-25 | Aggressive discounts including a large value coupon and a free freshly made drink coupon                                                               | Announced Rmb50bn subsidy for instant shopping (incl. food delivery) on Jul 2 |                                                                   | -2.6              | -5.2    | -10.0 |
| Aug-25 | SAMR had an administrative talk with the three food delivery platforms and called for rational competition                                             |                                                                               |                                                                   |                   |         |       |
| Sep-25 | "First cup of tea for autumn" campaign launched in early Aug, large value coupon were offered                                                          |                                                                               |                                                                   |                   |         |       |
| Oct-25 |                                                                                                                                                        |                                                                               |                                                                   |                   |         |       |
| Nov-25 |                                                                                                                                                        |                                                                               |                                                                   | -2.1              | -3.5    | -8.8  |
| Dec-25 |                                                                                                                                                        |                                                                               |                                                                   |                   |         |       |
| Jan-26 |                                                                                                                                                        |                                                                               |                                                                   |                   |         |       |
| Feb-26 |                                                                                                                                                        | Qwen offered Rmb2bn subsidy from Feb 6-28                                     |                                                                   | -1.0              | -3.2    | -5.2  |
| Mar-26 |                                                                                                                                                        |                                                                               |                                                                   |                   |         |       |
| Apr-26 |                                                                                                                                                        |                                                                               |                                                                   |                   |         |       |
| May-26 |                                                                                                                                                        |                                                                               |                                                                   | -0.1              | -2.5    | -4.6  |
| Jun-26 | SAMR drafted 10 Rules on Regulating Subsidy Practices of Food Delivery Platforms                                                                       |                                                                               |                                                                   |                   |         |       |
| 3Q26   |                                                                                                                                                        |                                                                               |                                                                   | 0.0               | -1.8    | -4.2  |
| 4Q26   |                                                                                                                                                        |                                                                               |                                                                   | 0.2               | -1.2    | -3.7  |

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 7: Weather a headwind for freshly made drinks in Jun**

China weather weekly tracker: Difference between weekly average temperature and 10-yr historical average (°C)

| City      | Tier       | Location        | Jan W1 | Jan W2 | Jan W3 | Jan W4 | Feb W5 | Feb W6 | Feb W7 | Feb W8 | Feb W9 | Mar W10 | Mar W11 | Mar W12 | Mar W13 | Mar W14 | Apr W15 | Apr W16 | Apr W17 | Apr W18 | Apr W19 | May W20 | May W21 | May W22 | May W23 | Jun W24 | Jun W25 | Jun W26 |
|-----------|------------|-----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
| National  |            |                 | -2.3   | -0.2   | 2.5    | -3.2   | 0.7    | 2.7    | 0.6    | 2.7    | -2.0   | -1.3    | -0.9    | -1.6    | 1.4     | 1.1     | 1.0     | -0.1    | -0.8    | -1.7    | -0.1    | 1.3     | 0.4     | 1.5     | 1.4     | -1.7    | -0.5    | -1.6    |
| Beijing   | Tier 1     | North China     | -2.1   | 2.0    | 0.5    | -4.9   | 0.0    | 1.7    | 1.2    | 3.1    | -0.5   | -3.5    | -3.0    | -1.3    | 2.8     | 0.4     | -2.2    | -1.7    | 0.6     | -1.0    | -0.4    | 3.1     | -1.5    | -0.9    | -0.5    | -3.9    | -1.7    | -3.3    |
| Tianjin   | Tier 1     | North China     | -1.5   | 2.6    | 1.0    | -3.6   | -0.1   | 2.4    | 2.3    | 4.5    | 0.0    | -4.4    | -5.5    | -3.5    | 2.6     | 0.1     | -1.6    | -1.1    | 0.5     | -1.4    | 0.6     | 3.6     | -3.0    | -1.3    | 0.1     | -2.3    | -0.1    | -2.4    |
| Changchun | New Tier 1 | Northeast China | -5.6   | 1.8    | -3.0   | -5.3   | -4.3   | 3.2    | 2.5    | 6.0    | -0.4   | -3.2    | -5.2    | -5.8    | 2.4     | -1.8    | -1.5    | 0.0     | -0.4    | 0.4     | -1.2    | 5.2     | 1.7     | 1.7     | -1.2    | -3.2    | -0.4    | -1.0    |
| Dalian    | New Tier 1 | Northeast China | -4.1   | 3.5    | 2.0    | -3.9   | -2.5   | 1.8    | 2.2    | 4.3    | 1.1    | -1.6    | -4.7    | -2.7    | 1.0     | 1.0     | -2.8    | 0.9     | 1.2     | -0.1    | -0.1    | -2.1    | -2.2    | -0.5    | -0.4    | -0.1    | -0.1    | -1.0    |
| Harbin    | New Tier 1 | Northeast China | -2.3   | 2.2    | -2.6   | -2.9   | -1.9   | 3.6    | 1.6    | 4.4    | -0.2   | -4.0    | -5.1    | -6.0    | 3.2     | -1.4    | -0.9    | -0.6    | -2.6    | 0.8     | -0.4    | 5.1     | 2.3     | 1.5     | -1.2    | -2.3    | 0.3     | -0.1    |
| Shenyang  | New Tier 1 | Northeast China | -7.8   | 2.3    | -0.5   | -7.9   | -5.8   | 2.2    | 2.5    | 6.3    | 0.5    | -2.5    | -4.8    | -4.6    | 2.2     | -0.8    | -2.2    | 1.4     | 0.9     | -0.3    | -1.4    | 2.9     | 0.8     | 2.3     | -0.1    | -1.9    | -0.4    | -1.9    |
| Xi'an     | New Tier 1 | Northwest China | -3.0   | 1.1    | 4.4    | -2.5   | 1.0    | 2.9    | 2.5    | 2.6    | -0.8   | -0.1    | -3.4    | -5.5    | -0.5    | 2.0     | 0.0     | 0.0     | -3.1    | -0.7    | -0.7    | -0.7    | -1.0    | -0.4    | 2.1     | -1.8    | 0.2     | -2.0    |
| Shanghai  | Tier 1     | East China      | -2.9   | -1.7   | 3.8    | -2.6   | 1.1    | 2.3    | -0.4   | 1.4    | 1.7    | -0.7    | -4.7    | -3.1    | -0.5    | 1.5     | 2.4     | -0.8    | -1.9    | -2.6    | 0.1     | 0.8     | 1.9     | 2.9     | 2.3     | 0.2     | -0.2    | -2.9    |
| Fuzhou    | New Tier 1 | East China      | -1.1   | -2.3   | 2.8    | -1.0   | 1.6    | 2.4    | 0.1    | 0.7    | 2.4    | 0.7     | -3.7    | -0.2    | -0.7    | 0.7     | 2.2     | 0.3     | 0.9     | -2.2    | -2.1    | -1.6    | 2.2     | 3.5     | 1.9     | -2.4    | -1.0    | -0.3    |
| Hangzhou  | New Tier 1 | East China      | -2.6   | -1.8   | 4.1    | -2.5   | 1.4    | 2.5    | -0.5   | 1.5    | 1.7    | -0.6    | -4.6    | -2.6    | -0.7    | 1.1     | 3.2     | -1.3    | -2.4    | -3.3    | 0.2     | 2.1     | 2.9     | 3.2     | 2.2     | -1.4    | -0.5    | -2.4    |
| Hefei     | New Tier 1 | East China      | -2.6   | 0.3    | 6.8    | -4.9   | 1.0    | 3.8    | -0.9   | 1.4    | 1.0    | -1.7    | -3.6    | -4.7    | 0.6     | 1.0     | 1.3     | -1.9    | -4.1    | -2.7    | 0.7     | 2.4     | 1.4     | 1.6     | 2.8     | -0.9    | 0.1     | -3.2    |
| Jinan     | New Tier 1 | East China      | -2.3   | 3.0    | 4.2    | -3.7   | 0.9    | 2.0    | 1.2    | 4.3    | 0.8    | -3.9    | -4.1    | -4.6    | 3.5     | 1.4     | -1.2    | 1.1     | -0.7    | -1.4    | 1.2     | 4.3     | -2.8    | -1.9    | 0.4     | -2.6    | 0.3     | -1.8    |
| Nanjing   | New Tier 1 | East China      | -2.7   | -1.4   | 5.0    | -4.1   | 1.0    | 3.6    | -1.0   | 1.5    | 1.0    | -1.7    | -4.7    | -4.5    | -0.1    | 0.8     | 1.5     | -1.7    | -4.1    | -3.6    | 0.5     | 2.4     | 1.9     | 1.9     | 2.9     | -1.2    | -0.1    | -3.4    |
| Qingdao   | New Tier 1 | East China      | -4.1   | 1.8    | 4.3    | -3.4   | 0.2    | 1.5    | 0.3    | 2.9    | 0.3    | -1.5    | -4.4    | -4.1    | -0.1    | 0.1     | -0.9    | -0.1    | -0.8    | -0.5    | -0.6    | -1.6    | -1.5    | -0.5    | -1.0    | -0.5    | -0.9    | -0.8    |
| Xiamen    | New Tier 1 | East China      | -0.8   | -3.5   | 1.5    | -0.9   | 2.1    | 2.4    | -0.1   | 0.4    | 3.9    | 1.2     | -3.3    | 0.1     | 1.5     | 1.5     | 1.6     | 2.4     | 1.4     | -2.0    | -1.6    | -2.0    | 1.7     | 4.3     | 1.5     | -1.7    | -1.7    | -0.1    |
| Changsha  | New Tier 1 | Central China   | -3.2   | -0.6   | 6.1    | -6.4   | 0.0    | 3.9    | -3.0   | -1.2   | 1.1    | -1.7    | -2.6    | -5.3    | -1.4    | -0.4    | 3.5     | -2.3    | -3.1    | -2.9    | 0.7     | 0.5     | 1.5     | 3.2     | 3.1     | -2.4    | 1.0     | -2.1    |
| Wuhan     | New Tier 1 | Central China   | -4.1   | 0.3    | 7.0    | -6.1   | -0.8   | 2.5    | -2.2   | 0.0    | 0.2    | -2.0    | -1.6    | -5.1    | 0.7     | 1.3     | 1.7     | -2.5    | -3.8    | -2.7    | 0.9     | 1.3     | 0.6     | 1.0     | 2.4     | -3.3    | 0.1     | -3.4    |
| Zhangzhou | New Tier 1 | Central China   | -4.1   | 3.5    | 5.5    | -5.9   | -0.9   | 2.8    | 1.5    | 3.4    | -0.4   | -4.5    | -4.0    | -5.5    | 2.2     | 2.9     | -0.1    | -0.8    | -3.3    | -0.4    | 0.3     | 2.6     | -2.1    | -1.0    | 2.6     | -1.5    | -0.5    | -3.6    |
| Guangzhou | Tier 1     | South China     | -1.8   | -4.1   | 2.7    | -2.8   | 3.8    | 4.4    | 1.0    | 1.9    | 6.9    | -0.6    | -1.9    | 2.5     | 4.6     | 1.6     | 3.4     | 2.3     | 0.4     | -1.9    | -1.5    | 0.4     | -0.2    | 3.6     | 3.3     | -1.3    | -1.6    | 0.9     |
| Hong Kong | Tier 1     | South China     | -0.9   | -3.7   | 1.8    | -1.0   | 3.0    | 2.7    | 0.4    | 2.3    | 4.3    | -0.1    | -2.7    | 0.7     | 2.8     | 2.5     | 2.7     | 2.2     | 0.6     | -1.3    | -1.3    | -0.3    | -0.1    | 2.3     | 1.5     | -1.5    | -2.1    | 0.4     |
| Shenzhen  | Tier 1     | South China     | -0.9   | -3.8   | 1.9    | -1.7   | 3.0    | 2.7    | 1.0    | 2.6    | 5.1    | 0.1     | -2.0    | 0.8     | 2.8     | 2.6     | 2.9     | 2.2     | 0.5     | -1.1    | -1.2    | 0.0     | -0.4    | 1.7     | 1.5     | -1.1    | -1.8    | 0.3     |
| Chengdu   | New Tier 1 | Southwest China | -0.5   | -0.3   | 2.5    | -1.5   | 1.4    | 2.1    | 0.0    | 3.5    | 6.0    | 2.4     | -0.6    | -4.1    | 0.8     | 0.4     | 0.6     | -0.9    | 0.1     | -2.9    | 1.3     | -0.7    | 2.8     | 3.4     | 2.4     | -1.6    | -1.1    | -1.1    |
| Chongqing | New Tier 1 | Southwest China | -1.4   | -0.9   | 1.7    | -1.5   | 0.6    | 2.2    | -0.3   | 3.0    | 5.3    | 2.9     | 0.5     | -4.8    | -0.8    | 0.3     | 1.5     | -1.2    | -0.2    | -2.8    | 0.0     | -0.3    | 2.4     | 2.1     | -0.1    | -3.8    | -1.9    | -3.5    |
| Kunming   | New Tier 1 | Southwest China | 0.5    | -2.7   | 1.1    | 2.6    | 3.9    | 4.5    | 2.0    | 3.2    | 3.4    | 1.3     | -2.6    | -0.2    | 1.8     | 1.8     | 2.3     | 1.3     | 1.9     | -2.7    | -3.3    | -1.3    | 2.4     | 3.3     | 0.9     | -2.2    | 0.6     | 0.6     |

Source: Bloomberg

**Q3: Opportunity by tier of cities**

Regarding Luckin's 55k store upside in ML China (based on 15% market share in FMD), we received investors' questions on the by city tier opportunities. We see penetration opportunity in both high tier and low tier cities:

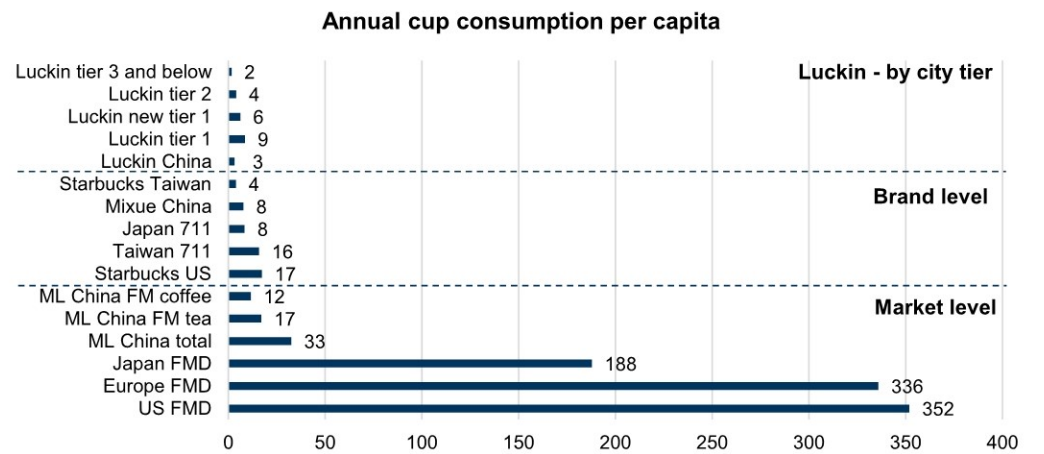
- In tier 1 cities where Luckin reached high density level, Luckin has ~9 annual cup consumption per capita in 2025. Affordability in high tier cities is high at ~0.2x hourly wage, a comparable level to CVS coffee in Taiwan and Starbucks in US. Using this as benchmark (high teens-low 20s cups per capita consumption), we think Luckin still has room to double the store count in tier 1 cities. We also view the competitive landscape with other freshly made drink players as relatively favorable



in tier 1 cities, where the leading freshly made tea brands have relatively small exposure. In new tier 1 and tier 2 cities, annual per capita consumption is at 6/9 cups, and we also see meaningful growth opportunity with coffee consumption habit established.

- In lower tier cities, the penetration is at low level, i.e. 2 cups annual consumption for Luckin. It is a bigger penetration opportunity in the longer term; that said, pace of store expansion is subject to the progress of customer education on coffee consumption. Competition wise, leading freshly made tea brands (e.g. Mixue, Guming) stores are skewed towards lower tier cities. But Luckin’s diversified coffee offerings and brand awareness in coffee would enable it to capture the lower tier city coffee penetration opportunity; meanwhile, the non-coffee category expansion helps to attract customers that haven’t established coffee consumption habit.

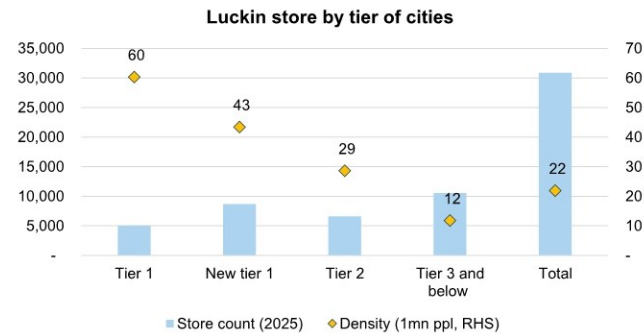
Exhibit 8: Luckin’s per capita consumption sees room for further growth in different tiers of cities



For Luckin’s by city tier consumption, we apply store mix to calculate consumption volume to each tier of cities

Source: CIC, Company data, Zhaimen, Goldman Sachs Global Investment Research

Exhibit 9: Luckin’s store count and density by tier of cities

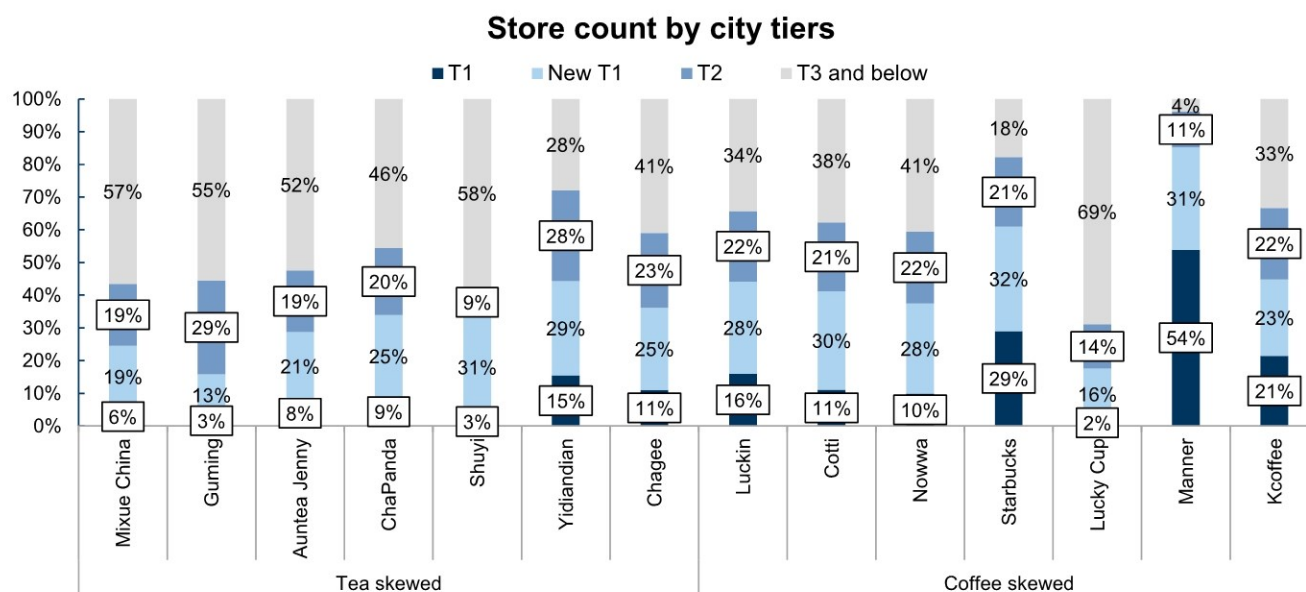


Source: Zhaimen, NBS

Exhibit 10: In the past year, Luckin’s store distribution between high tier and low tier cities has been stable



Source: Zhaimen

**Exhibit 11: Brands' store count by city tiers**

Source: Hongcan

## Q4: Raw material price trend and impact

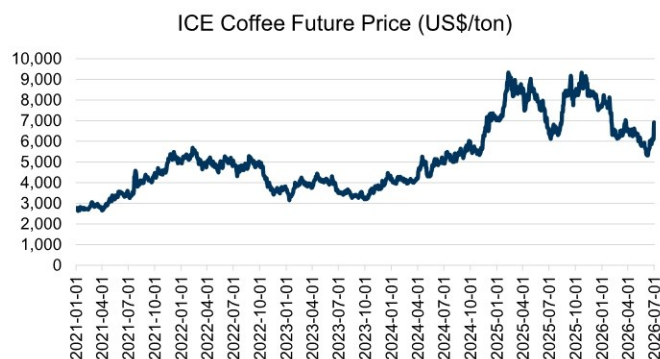
Raw material price trend is relatively favorable yoy, or stable (e.g. milk which is a major raw material for Luckin and Chagee) except for packaging-related oil by-products. **For Luckin**, coffee beans take the largest portion in raw material cost at 30%-40% mix. Coffee bean price started to drop in late 2025 (while it has picked up recently, the spot price is ~20% below the level in 2025), with ~6 months inventory, cost tailwind would be more meaningful in 2H if coffee bean price does not further pick up. For the cost inflation in PET, we expect the impact to be relatively small on Luckin as total packaging material takes up SD% in raw material cost; sugar mix in raw materials is also small at LSD%. For **Chagee**, milk and tea are the major raw materials; PET cost mix is small with the brand's relatively high price, and sugar mix is also relatively low. However, we need to watch the jasmine tea price (the key production base is located in Guangxi which was impacted by floods), which is a key raw material for its star product Boya jasmine tea (over 40% GMV contribution earlier this year).



**Exhibit 12: Raw material price changes**

| Category                     | Raw Material | 2024 yoy | 2025 yoy | YTD yoy | Spot vs. 2025 | YTD change | Spot vs YTD peak | Companies impacted                            |
|------------------------------|--------------|----------|----------|---------|---------------|------------|------------------|-----------------------------------------------|
| Packaging Materials          | PET          | -6%      | -13%     | 26%     | 17%           | 15%        | -26%             | Mixue, Luckin, Guming, Chagee, YUMC, Haidilao |
|                              | Paper Pulp   | 2%       | -8%      | -9%     | -8%           | -15%       | -37%             | Chagee, Guming, Luckin, Mixue, YUMC           |
| Fresh-Made Drink Ingredients | Raw Milk     | -14%     | -8%      | -2%     | -1%           | -0.3%      | -1%              | Chagee, Luckin, Guming, Mixue                 |
|                              | Milk Powder  | 0%       | 15%      | -7%     | -11%          | -6%        | -5%              | Mixue, Luckin, Guming                         |
|                              | Sugar        | -7%      | -7%      | -10%    | -7%           | 1%         | -2%              | Mixue, Luckin, Guming, Chagee                 |
|                              | Coffee Beans | 36%      | 55%      | -19%    | -21%          | -27%       | -26%             | Luckin, Guming, Mixue                         |
|                              | 6 Key Fruits | -2%      | 1%       | 3%      | -1.9%         | -1.4%      | -6%              | Guming, Luckin, Mixue                         |

Source: Wind, Goldman Sachs Global Investment Research

**Exhibit 13: ICE coffee future price edged up in the recent week**

Source: Wind

**Price Target Risks and Methodology - Luckin Coffee**

We are Buy rated on Luckin with a 12-m TP of HK\$49, based on 21x 2026 P/E. Key risks include: 1) Data privacy risks, 2) Market competition, 3) Weaker-than-expected pricing, 4) Raw material cost inflation, 5) Delivery mix impact on margin, 6) SSSG dilution with store network expansion, 7) Food safety.

**Price Target Risks and Methodology - Chagee Holdings**

We are Neutral-rated on Chagee with a 12-month target price of US\$13.6, based on 10x 2026E P/E. Our target P/E multiple of 10x is benchmarked against the trading P/E multiples of Jiumaojiu and Helens, both of which have experienced earnings downcycles as their brand upcycles moderated. Key risks include: 1) stronger- or weaker-than-expected product cycle and innovation; 2) faster- or slower-than-expected store network expansion in China and overseas; 3) delivery subsidies; 4) margin and profitability; and 5) brand reputation and food safety risks.

## Disclosure Appendix

### Reg AC

We, Xinyu Ruan and Michelle Cheng, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

**Contributing Authors:** Xinyu Ruan Goldman Sachs (Asia) L.L.C., Michelle Cheng Goldman Sachs (Asia) L.L.C., Molly Dai Goldman Sachs (Asia) L.L.C..

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

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**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

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### Disclosures

**The rating(s) for Chagee Holdings and Luckin Coffee Inc. is/are relative to the other companies in its/their coverage universe:** Anta Sports Products, Bloks Group Ltd., Bosideng International Holdings, Chagee Holdings, Chow Tai Fook Jewellery Group, Chow Tai Seng Jewellery, Eclat Textile Co., Feng Tay Enterprises, Gourmet Master Co., Guming Holdings Ltd., Haidilao International Holding, Huali Industrial Group, Jiumaojiu, Juewei Food, Laopu Gold, Li Ning Co., Luckin Coffee Inc., Luk Fook Holdings, Makalot Industrial Co, Miniso (ADR), Miniso (H), Mixue Group, Pop Mart, Pou Sheng International Holdings, President Chain Store, Shanghai M&G, Shenzhou International Group, Stella International Holdings, Topsports Intl Holdings, Uni-President Enterprises, Xtep International Holdings, Yue Yuen Industrial, Yum China Holdings (ADR), Yum China Holdings (H)

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Goldman Sachs beneficially owned 1% or more of common equity (excluding positions managed by affiliates and business units not required to be aggregated under US securities law) as of the month end preceding this report: Luckin Coffee Inc. (\$31.91)

Goldman Sachs has received compensation for investment banking services in the past 12 months: Luckin Coffee Inc. (\$31.91)

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Goldman Sachs makes a market in the securities or derivatives thereof: Chagee Holdings (\$11.00)

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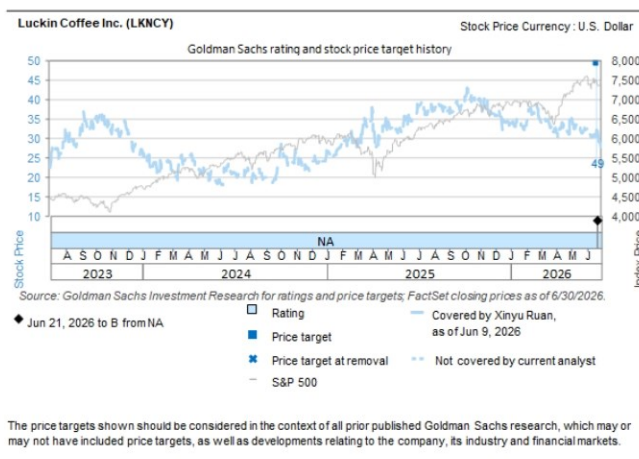
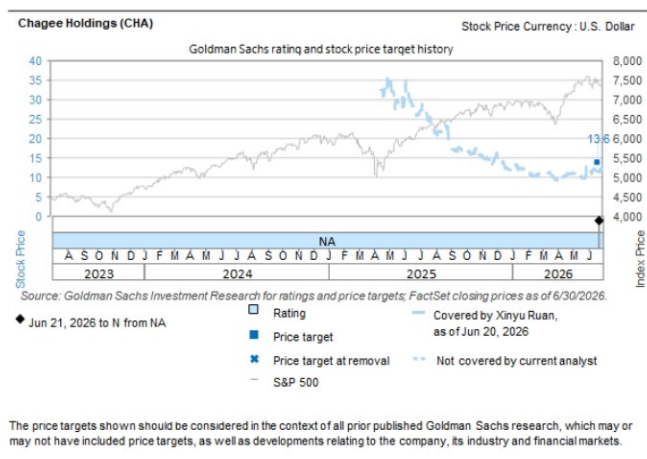
Goldman Sachs Investment Research global Equity coverage universe

|        | Rating Distribution |      |      |  | Investment Banking Relationships |      |      |
|--------|---------------------|------|------|--|----------------------------------|------|------|
|        | Buy                 | Hold | Sell |  | Buy                              | Hold | Sell |
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## Price target and rating history chart(s)



## Target price history table(s)

### Chagee Holdings (CHA)

| Date of report | Target price (\$) | Closing price (\$) |
|----------------|-------------------|--------------------|
| 21-Jun-26      | 13.60             | 11.65              |

### Luckin Coffee Inc. (LKNCY)

| Date of report | Target price (\$) | Closing price (\$) |
|----------------|-------------------|--------------------|
| 21-Jun-26      | 49.00             | 30.51              |

Price targets shown in table(s) are unadjusted for corporate actions.

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